

COMMERCE AND INDUSTRY

SHORT QUESTIONS

Note: Answer the following questions into two or three lines

1. **What is meant by business? Describe in four sentences.**

- a) Business is a broad term in which the production of goods and services is discussed
- b) All economic activities and activities are included in business which provide the information about purchase and sale of goods
- c) The fundamental purpose of business is to earn profit.
- d) According to R.Nons business means such individual or organization which participated in production of goods and their distribution of which renders services to earn remuneration.

2. **What is meant by human activities? Write the names of its kinds.**

- a) All the functions and activities which satisfy the wants of human beings are called the human activities.
- b) Man gets financial benefits and profit by means of human activities so that he can fulfill his necessities of life.
- c) The spiritual and cordial emotions are satisfied by performance of these activities.
- d) There are two major types of human activities (i) Economic activities (ii) Uneconomic activities.

3. **What is meant by profession? Can the production of goods and services may be deemed as profession. Write down some example of it.**

- a) Profession means the business carried out by an individual using his ability and skill
- b) A professional renders services using the ability and earn remuneration.
- c) Production of goods and services using raw material is called industry and not a profession.
- d) Examples of professionals are * Engineers * Doctor * Lawyer * Teacher

4. **What is meant by Uneconomic activities?**

- a) The purpose / objective of the uneconomic activities are not to earn the profit.
- b) These activities are related with human/people's benevolence and welfare
- c) These activities provide satisfaction to spiritual or psychological emotions.
- d) Uneconomic activities are not performed with the objective of earning profits

5. **Write down four important characteristics of a business**

- a) Business provides opportunities for inventions.
- b) Business provides training to the individual for performance of economic activities.
- c) It helps to raise the standard of living of the people.
- d) It provides a chance to produce goods and services and to conduct their trade (purchase & sale)

6. **Write down four good qualities of a businessman**

- a) A businessman is hard working.
- b) A businessman is honest in his business dealings.

- c) A businessman has the ability of planning and organizing business
- d) A businessman possesses wide experience of his business.

7. Enumerate any four stages/steps necessary to be adopted before starting a business.

- a) Determination of the size of a business
- b) Selection of site/location of a business
- c) Formation of capital for conducting the business
- d) To acquire the services of experts and experienced employees/workmen.

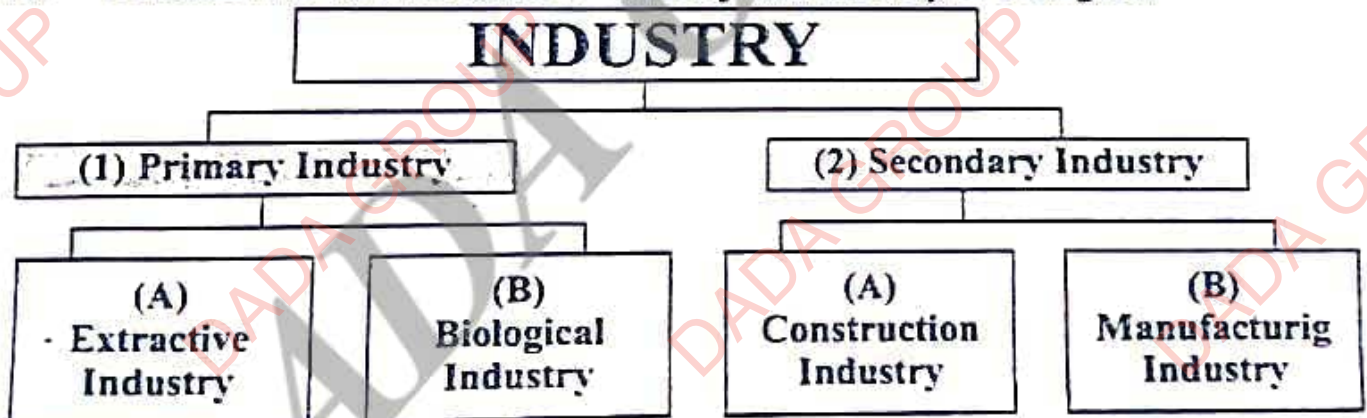
8. What important steps have to be taken before commencement of an industry?

- a) Availability of capital
- b) Availability of cheap and skilled laborers
- c) Availability of abundant quantity of raw material
- d) Availability of suitable and cheap means of transport

9. What is meant by industry? Write down in four sentences.

- a) Industry is an important component of business which includes production of goods and services.
- b) The economic and industrial development of a country depends on her industries.
- c) Different are used for manufacturing goods by an industry
- d) The industries produce capital and consumer goods for fulfill the necessities of the country and her exports.

10. Describe the various kinds of industry with the help of a diagram



11. What is meant by commerce? Answer in four sentences.

- a) Commerce is the combination of trade and aids to trade
- b) Commerce has changed the entire world into a vast and expanded market.
- c) According to George Stephen commerce includes all such activities which remove the obstruction of physical factors of time and distance in the process of exchange of goods.
- d) With the help of commerce goods manufactured in all the countries of the world can be purchased / imported

12.

Write down four advantages of commerce

- a) Commerce enables to purchase goods and cheap raw material conveniently
- b) Using abundant quantity of raw material the industries manufacture finished goods incurring low cost of production
- c) Commerce makes local and foreign made goods available in the customer's hands at low prices.
- d) The prices of goods and commodities become stable in on and foreign markets with the help of commerce.

13.

Write down the importance of commerce in four sentences.

- a) By the help of commerce all the countries of the world can specialize in the production of goods which are inexpensive and abundant within the countries locally for example Sri Lanka and Kenya have specialized in production of Tea. Bangladesh is specialized in jute and Pakistan has specialized in production of Basmati Rice and Cotton Textiles.
- b) Commerce helps in expanding the business and increases the job opportunities for people.
- c) Commerce helps in agriculture and industrial development
- d) Commerce helps in raising the standard of life of the people.

14.

What is meant by trade? Describe in four sentences.

- a) The word TRADE means "Exchange of Goods"
- b) Generally trade means Purchase and sale of goods.
- c) Trade helps to acquire goods produced in all parts of the world.
- d) There are two major kinds of trade (a) home trade (b) foreign trade

15.

What is meant by foreign trade? Write down the names of its kinds.

- a) The trade between two different countries or more than two countries is called foreign trade.
- b) In foreign trade and producers and sellers belong to one country and the purchasers of goods belong to other country/countries.
- c) In foreign trade the surplus goods produced by a country with specialization are exported to other countries.
- d) It has three kinds (a) imports (b) exports (c) enter port

16.

What is meant by Aids/Auxiliaries to trade?

- a) All such individuals and organizations which are helpful in Commercial activities are called Aid to Trade.
- b) Taking advantages of Aids to trade the trade becomes easy and can develop.
- c) Due to Aids of Trade goods manufactured by all the countries of the world are offered for sale in all the markets of the world.
- d) These aids provide facilities of provision of capital safety from risks in the form of insurance and faculty of advertising for commercial promotion.

28. Maximum limit of time to hold a statutory meeting after registration:
- | | |
|-----------------|------------------|
| a. Three months | b. Six months |
| c. Nine months | d. None of these |
29. According to company ordinance 1984, the annual general meetings maximum limit after incorporation is:
- | | |
|--------------------|------------------|
| a. Six months | b. Twelve months |
| c. Eighteen months | d. None of these |

TYPES OF ORGANIZATIONS

SHORT ANSWERS QUESTIONS

Answers these questions briefly in two to three sentences.

1. **Write down four advantages of sole proprietorship business.**
 - a) Its formation is easy.
 - b) The decision in this kind of business is promptly taken.
 - c) In this business likeness and unlikeness of the consumers are specially considered.
 - d) In this business sole proprietor establishes personal and near relations with customers.
2. **Write down any four important characteristics of sole proprietorship business?**
 - a) The owner of this business is the sole proprietorship
 - b) The sole proprietor is responsible for all the profit and loss of the business.
 - c) The liability of the sole proprietor is limited.
3. **What is meant by sole proprietorship business?**
 - a) This a simple type of business organization
 - b) The owner ship of sole proprietorship rests with the sole proprietor.
 - c) The management of sole proprietor business is vested in the sole proprietor.
 - d) Carpenter, painter, cobbler, barber, newspaper seller etc are the example of sole proprietors.
4. **Write down any four reasons for failures of sole proprietorship business.**
 - a) There exists lack of innovation and invention in this kind of business.
 - b) It is difficult in this type of business to acquire loan.
 - c) It always faces the problem of shortage of capital
 - d) It does not enjoy the people's confidence.
5. **Is the formation of sole proprietorship business easy? Describe in four sentences.**
 - a) There exists no legal restriction for the formation of this type of business.
 - b) No registration is necessary for starting this kind of business.
 - c) This type of business continuously need capital expand.
 - d) This type of business can be started at any time at any place.
6. **Can the sole proprietor easily close his business?**
 - a) If the sole proprietor observes that his income from his business is insufficient even to meet his household expenses than he promptly sell out his business and adopts the profession of Government / Private employment.

- b) If a co-thinker or needy individual wishes to invest his capital in the sole proprietor business then the sole proprietor would end his business and may form partnership and he would not find it difficult.
- c) If the employee of a sole proprietor is dishonest and the sole proprietor suffers losses in business due to his dishonesty then he would resort in dismissing his employment and to terminate the sole proprietorship.

7. **What do you know about the responsibility of sole proprietorship in respect of business?**

- a) The responsibility of sole proprietorship in his business is unlimited.
- b) In case of loss in business the sole proprietor has to bear the entire loss.
- c) If the sole proprietor sells large quantities on credit then the volume of bad debts would increase and sooner or later the business has to be closed. Hence credit sale should be kept minimum by the sole proprietor.
- d) The sole proprietor has to control his household expenditure and to cut the cost accordingly to size of cloth. Otherwise he would take out the capital from his business gradually and the business would collapse ultimately.

PARTNERSHIP

SHORT ANSWERS QUESTIONS

1. **Write down four important points of a partnership business.**
 - a. Its fundamental purpose is to earn profit.
 - b. The profit is distributed among the partners in accordance with the agreed conditions.
 - c. Minimum numbers of partners in a partnership is two and the maximum is twenty.
 - d. The partnership business can be carried out collectively by all the partner or one partner performs the entire work of partnership as a representative of all the partners.
2. **Write down four important characteristics of the partnership business.**
 - a. Partnership is established under a regular contract.
 - b. Partnership can only conduct a lawful business.
 - c. The liability of a partner in partnerships is unlimited.
3. **Write down four sentences in partnership deed.**
 - a. It is a document in which all the rules and regulation of a partnership firm are recorded.
 - b. The nature of business of the partnership firm is recorded in this document
 - c. In this document names, addresses and details of individual capitals of all the partners are recorded.
4. **Write down four advantages of a partnership business.**
 - a. The partnership business is established with mutual consultation of the partners.
 - b. The likeness /choice of the customers are considered in partnership business.
 - c. The partnership can be established easily.
 - d. In this business the services of high grade experts can be acquired
5. **Point out four demerits of partnership business.**
 - a. The people /customer do not trust on this kind of business.
 - b. Its business decisions are greatly delayed
 - c. The partners generally crop up disputed and mutual distrust
 - d. The partners have unlimited liability and their private properties can be disposed off in payment of the credit or making good the losses of partnership (firm)
6. **Write down any four principles laid down in the partnership Act 1932 (clause 9)**
 - a. These principles became applicable if there exists on partnership contract between the partners
 - b. The profit and loss of business is equally distributed among the partners.
 - c. No partner is paid any salary or commission
 - d. For any additional investment of capital by any partner he is paid interest @ 6% per annum.

7. **Write down any four advantages of registration of a partnership firm.**
- a. Registered partnership firm can easily get loan from banks/financial institutions
 - b. The registered partnership has legal protection.
 - c. This kind of firm enjoys public confidence.
 - d. Registered partnership firms enjoy Government concessions.
8. **Write down any four rights of the partners.**
- a. Sharing the profits and loss.
 - b. Taking part in the management of partnership
 - c. Inspection of account books.
 - d. To offer opinion in business decision.
9. **Write down any four duties of partner.**
- a. A partner should perform the business work.
 - b. The partner makes majority decisions in business matters.
 - c. The partners abide by the partnership contract/agreement.

JOINT STOCK COMPANY

SHORT ANSWERS QUESTIONS

1. Define J.S. Company in four sentences.
 - a. J.S. Company is a sort of Joint / Collective Business.
 - b. The shareholders invest their capitals in the J.S. Company (by purchasing shares of the J.S. Company)
 - c. Many persons join together to do a work (business in order to earn profit/dividend.
 - d. The shares of a J.S. Company can be purchased and sold.
2. Write four important characteristics of a J.S. Company.
 - a. The company is an artificial legal person.
 - b. The company uses its seal in place of signature.
 - c. The shareholders are the owners of a J.S. Company.
 - d. The management of J.S. Company is handled by its board of directors and shareholders do not interfere in the management / administration of the J.S. Company.
3. Write down the four advantages of J.S. Company.
 - a. A J.S. Company runs its business with a large capital.
 - b. By formation of J.S. Company investment of capital is developed.
 - c. Bank advance loans to a J.S. Company on easy terms.
 - d. A J.S. Company enjoys a lot of financial good will in the market and people trust on it.
4. Write down any four losses of a J.S. Company.
 - a. The business of J.S. Company results in formation of monopoly.
 - b. The J.S. Company entails lot of delay in making decisions (financial as well as administrative)
 - c. The business of J.S. Company lacks secrecy.
 - d. Formation of J.S. Company involves observations of many legal formalities.
5. What do you know about a public limited company?
 - a. The minimum number of members of public limited joint stock company is 7 who are called its shareholders.
 - b. There is no higher limit on the number of shareholders of public limited J.S. Company.
 - c. The shares of this company are purchased by public who are invited to purchase shares by publishing a prospectus in the news
6. What is meant by a private limited company?
 - a. The minimum number of establish this kind of company is 2 persons.
 - b. The maximum number of shareholders in these types of J.S. Company is 50.
 - c. Its shares are not presented for sale to public by publishing prospectors.
 - d. The shareholders are generally the relatives and friends.
7. Enumerates the four steps of formation of a J.S. Company.
 - a. Promotion
 - b. Incorporation
 - c. Formation of capital
 - d. Certificate of commencement of business.

8. **What do you know about share?**
- Share is a unit of total price of a company.
 - If a company's capital is rupee one million then it can be divided into 10,000 shares of Rs. 100 each.
 - Generally ordinary share's worth is Rs. 10/- and the preference shares have the face value of Rs. 100.
9. **Write the names of kinds of shares.**
- Ordinary shares
 - Preference shares
 - Deferred shares
10. **What is meant by debenture?**
- It is a kind of agreement of a J.S. Company.
 - It is an agreement which displays that the J.S. Company has taken a loan.
 - In this agreement the J.S. Company promises to repay the loan.
 - In this document the rate of interest and the period for which the loan is taken are recorded.
11. **Write down the names of any four types of debenture.**
- Simple debentures
 - Guaranteed debentures
 - Redeemable debentures
 - Irredeemable debentures
12. **Write down the names of any four types of debentures.**
- Simple debenture
 - Guaranteed debentures
 - Redeemable debentures
 - Irredeemable debenture
13. **What is the difference a shareholder and a debenture?**
- The shareholder is regarded as the owner of the J.S. Company
 - The shareholder gets a share in the profit of J.S. Company called dividend which is declared by the board of Directors.
 - The debenturer is the lender of loan to the J.S. Company at a fixed rate of interest for the specified period.

JOINT STOCK COMPANY

SHORT ANSWERS QUESTIONS

1. **What do you know about a public limited company?**
 - a) In this kind of J.S. Company the liability of shareholders is limited to the value of shares possessed by the shareholders.
 - b) The shares of this company can be easily sold.
 - c) The minimum number of its share holders is even.
 - d) There is no limit for the maximum number of shareholders in this type of J.S. Company.
2. **Describe the duties of the directors of J.S. Company.**
 - a) Board of Directors of a company chalks out the policy of the company.
 - b) Board of directors conduct the management of the company
 - c) The board of directors makes all the administrative decisions of the J.S. Company.
 - d) Legally the directors of the company are the agents and trustees of the company.
3. **Define a private limited company**
 - a) This company is established under companies' ordinance 1984.
 - b) In this company the liability of share holders is unlimited.
 - c) There is restriction on the transfer of share of this company.
 - d) The minimum number of share holders in this company is two and the maximum number of shareholders is fifty.
4. **Write down the steps of formation of a J.S. Company.**
 - a) There are four steps of formation of a joint stock company.
 - b) Promotion
 - c) Incorporation
 - d) Provision of capital and certificate of commencement of the business.
5. **What do you know about the memorandum of association of J.S. Company?**
 - a) It is an important fundamental document of a company
 - b) It is prepared by experts
 - c) This document is a contract between the shareholders and the company
 - d) In this document the status of the company is stated.
6. **Write down four sentences of the article of association of the firm.**
 - a) It is an important document of the company which is submitted to the registrar of company along with the application for incorporation of company.
 - b) In this document the method of fulfilling the objects of the company are described.
 - c) This document is prepared to act according to the memorandum of association
 - d) None of the article contravenes with any clause of the memorandum of association.

COOPERATIVE SOCIETIES

SHORT ANSWERS QUESTIONS

1. **What is meant by a cooperative society?**

Ans. When some persons belonging to a single industry or profession voluntarily collect their united potentials and resources to achieve their joint economic objectives and start a business then their group is formed called cooperative society.

2. **What are the objects of formation of a cooperative society?**

- a) It is established for the welfare of its members.
- b) Its object is not to earn profit.
- c) "All of them for one and one for all" is the object of cooperative society.
- d) It is established to avoid the profit earning of middleman in order to decrease the prices of goods.

3. **Write down any four of the cooperative society.**

- a) It creates self reliance in its members
- b) It helps to control the quarrels which crop up due to class differences.
- c) It helps to make equal distribution of wealth especially between the members of the cooperative society.
- d) Its formation helps to avoid the profiteering monopolies.

4. **Write down four important characteristics of a cooperative society.**

- a) It helps to raise the standard of living of the members of the society. A.U
- b) It is the best method of social service especially for the members of the cooperative society.
- c) It creates spirit of mutual cooperation between the members of the society.
- d) The cooperative society sells the goods to its members on which they have to pay tax (sales tax) at a lower rate.

5. **What is the difference between cooperative society and other types of societies / association?**

- a) The rate of profit charged by a cooperative society on the goods sold by it to its members is comparatively less than the rate of profit charged on their goods by other organization.
- b) The cooperative society comparatively uses its profit in a justified and correct manner
- c) Investment in respect of a cooperative society is easy by observing the principles of divinity (Islam) and no question arises of bad debts as the goods are sold in terms of cash.
- d) The share holders of the society have equal rights.

6. **Write down any four social advantages of a cooperative society.**

- a) Among the members of a cooperative society the spirit of mutual cooperation and sympathy develops.
- b) The members of the society develop an atmosphere of mutual confidence between themselves.
- c) The members of a cooperatives society develop the characteristics to peacefully live together and to help each other practically and financially
- d) The members develop brotherhood and equality.

7. How does a cooperative society perform its business affairs?
- a) The society forms a management committee
 - b) The management committee handles the management of the society
 - c) The members of management committee are elected each year.
 - d) The committee naturally works for the welfare of the society and its members.
8. Write down any four kinds of the cooperative society.
- a) Laborer's cooperative society
 - b) Producer's cooperative society
 - c) Creditor's cooperative society
 - d) Consumer's cooperative society.

TRADE (NATURE AND KINDS)

SHORT QUESTIONS

1. **What is meant by home trade? Write the names of its kinds.**
 - a) The trade of goods and services within the boundary of a country is called home trade.
 - b) It exchanges goods and services among the citizens of the same country.
 - c) The home trade is conducted in the local currency.
 - d) Home trade is two types/kinds (a) wholesaling (b) retailing.
2. **What is meant by wholesaling?**
 - a) It is a kind of home trade.
 - b) In this type of trade large quantities of goods are purchased from producers (by wholesalers)
 - c) The wholesalers sell the goods in small quantities to the retailers.
 - d) In wholesaling goods are sold indirectly to the customers.
 - e) The wholesaling sells the goods to retailers in cash and on credit.
3. **What is meant by retailing?**
 - a) It is such home trade in which goods are traded in small quantities.
 - b) Retailers purchase goods from wholesalers
 - c) Retailers sell the goods near the residences of customers in streets and lanes according to liking and choice of the consumers.
4. **What is meant by the consumers?**
 - a) These are individuals who purchase their necessities of life from retailers to satisfy their wants.
 - b) Consumers purchase their necessities of life from retailers in cash and on credit.
 - c) The consumers do not purchase their necessities of life from the producers directly.
 - d) The consumers purchase goods accordingly to their liking, choice and fashion from the nearby shops of retailers.
5. **Write down any four advantages of home trade.**
 - a) In home trade good and service are provided to the customers according to their liking, choice and fashion.
 - b) The goods sold are not legally banned (such as narcotics, firearms etc)
 - c) Home trade results in to reduction of consumers expenses.
 - d) In home trade local currency is used.
6. **Write down any four disadvantages of home trade.**
 - a) Selfish traders hoard the goods of necessities in home trade and create artificial scarcity of such goods.
 - b) Some trader's carryout the business of drugs and firearms.
 - c) In order to earn large profits some traders form monopolies.
 - d) The supply of necessities of life of people becomes fully dependent on the mercy of traders in the home trade.
7. **What do you know about the departmental store?**
 - a) In the departmental store all kinds and varieties of necessities of life are sold in different parts of a large building under the same roof.
 - b) For every kind of goods there exists a separate department / room.
 - c) Its management is centralized and all the department are controlled by an experience manager
 - d) This store is generally established in a big hall or a multistory building.

8. Write four sentences about the multishops / chain stores.

- a) In many cities or in many localities of a city shops are established by the same organization in its own name which are called multishops / chain stores.
- b) In these shops goods of same quality are sold.
- c) The prices / rates are generally engraved / written on the goods.
- d) The organization or institution which sells the goods is paid commission according to volume of sales. (its examples are Bata shoes and service shoes)

9. What do you know about a purchase order?

- a) The prospective buyer after ascertaining all the details about the goods to be purchased issues a purchase order to the seller.
- b) In this order the data for supply of goods is also prescribed.
- c) The model and standard of goods etc (specifications) are also recorded in the purchase orders.
- d) If part of price is being sent along with the order then its pay order or receipt money order is also elevated along with the purchase order.

WHOLESELLING

SHORT ANSWERS QUESTIONS

1. **What services are rendered to producers by a wholesaler?**
 - a) It is necessary for the wholesaler that he should inform the producers about the liking, tastes and fashion of the consumers.
 - b) The wholesaler serves as a middle link between the producers and retailers.
 - c) He relieves the producers from the responsibility of storage of good and incurring heavy expenditure to construct the warehouses. He stores the goods in his own warehouse.
 - d) He makes purchase of large quantity of goods and makes advance payment of prices of goods to the producers.
-

2. What services are rendered by a wholesaler to the retailers?
 - a) To wholesaler keeps goods always ready for sale according to the demand of retailers and sells them to the retailers in small quantities throughout the year.
 - b) The wholesaler often uses his transport vehicle (Suzuki or station wagon) to supply the needed goods to the retailer's shops.
 - c) The wholesaler supplies banners and samples to retailers for advertisements of new products.
 - d) The wholesaler supplies goods to retailers on cash and credit and also provides business information and useful advices.
3. What services are rendered to society (consumers) by the wholesale?
 - a) Wholesaler stocks the necessities of life for the members of the society and supplies them to the retailers for onward sale to consumers throughout year.
 - b) By his sincere efforts he provides the consumer goods at stable prices and no scarcity of goods is felt by the members of the society.
 - c) The wholesaler provides financial help to the producers to enable them to produce /manufacture goods/ products in sufficient quantity according to liking , tastes and fashion of the people (by conducting market research)
 - d) In order to run his wide business smoothly the wholesaler creates job opportunities (clerical manual and salesmanship etc.). Thus the wholesaler helps to control or to reduce unemployment.
4. Make a list of services and duties of a salesman.
 1. To the producers. The wholesaler provides following services.
 - a) Gives advices about the nature of goods/products to the produced.
 - b) Guides the produces about the samples and standard of goods
 - c) Provides financial help
 2. To retailers
 - a) The wholesaler provides goods in small quantities through out the year.
 - b) Supplies goods on terms of cash and credit.
 - c) Guides them about business matters
 3. To the society.
 - a) The wholesaler supplier sufficient quantities of necessities of life to the people.
 - b) The wholesaler provides job opportunities to the people
4. Write down any four important characteristics of wholesaler.
 - a) The wholesaler makes purchases of goods/products from producers on a large scale and stores them in his warehouse.
 - b) He supplies goods in small quantities at fixed price to the retailers throughout year.
 - c) He appoint (commission) agents
 - d) He provides financial help to the producers and sells goods in small quantities throughout the year both in terms of cash and credit.
5. Define wholesaling
 - a) Purchase of goods and commodities from factories and producers on a large scale and strong them in warehouses and supplying them to the retailers in small quantities in cash and credit throughout the year is called wholesaling.

6. Write down any four advantages of wholesaling.
- a) Dishonest wholesalers adulterate in the goods/ commodities at the time of sorting / grading and packing.
 - b) In order to earn excessive abnormal profit some wholesaler do not supply goods from their stock and create artificial scarcity of goods to sell later at high prices.
 - c) Sooner or later the wholesalers establish monopolies and exploit the consumers.
 - d) They provide capital/financial help to the needy producers and then force the latter to sell goods and commodities at low prices fixed unilaterally by them. (Wholesalers) thus the producers and manufacturers are exploited and they suffer losses.

RETAILLING

SHORT QUESTIONS

1. What is meant by retailer? Write down its definitions.
 - a) Retailing is a kind of business in which small quantities of goods are traded.
 - b) Retailers purchases goods from the wholesaler in small quantities on cash or credit basis.
 - c) Retailers purchases goods according to liking tastes and fashions of customers
 - d) Retailers is a link between wholesaler and consumers
2. Define retailing
 - a) It is a kind of business in which small quantities of goods are traded.
 - b) In this business goods are purchased in terms of cash or kind from wholesaler.
 - c) In this business goods are sold to consumers according to their taste and fashion.
 - d) The retailer conducts business with small capital and often he purchases goods on credit from the wholesalers.
3. Write down names of any six duties of the retailer.
 - a) Supply different goods to customers.
 - b) Supply of goods near the houses of consumers.
 - c) Supply of fresh goods to customers
 - d) Gradation of goods
 - e) Estimation of customer's demand
 - f) Information the wholesaler about the liking, taste and fashions of consumers
4. What is meant by super market?
 - a) It is a kind of large scale retailing business.
 - b) This market is established on a very large area.
 - c) The customers purchase goods going round the market on the principle of self drop.
 - d) The customers are provided small trolleys in which they keep the goods of their choice and pay the prices of goods at the cash counter.
 - e) No salesman or other sales staff helps the customers in selection and collection the desirable goods.
5. Why the retailing is popular in Pakistan.
 - a) In this kind of business the retailers can establish direct contact with the consumers.
 - b) The shops of retailers are very near to the residences of the consumers.
 - c) The household servants and housewives can make purchases from retail shops in the absence the male members of the families.
 - d) The retail shops are established in all the small and big cities, towns and villages in the streets and lanes.
 - e) The retail shops are established with small capital and become the source of livelihood for retailers and they become self employed.

6. Compare the business of wholesalers and retailers.

	Point of distinction	wholesaling	Retailing
1)	Source of procurement	The wholesalers purchase goods from the producers directly.	The retailers purchases goods from the wholesalers
2)	Rate of profit	The wholesaler's rate of profit is less.	The retailers rate of profit is very high
3)	Method of sale	The wholesaler sells goods to retailers on cash and credit basis	The retailers sell goods generally on cash basis except in case of regular customers
4)	advertising	The wholesaler advertises the goods/products.	The retailer does not advertise the goods.

SHORT ANSWERS QUESTIONS

1.

Ans.

2.

- a) Import trade

b) **Export trade**

3.

- a) The greatest risk is of sea

b) In exports receipts generally great difficulty is experienced when foreign importers point out defects in export cargo and return it.

c) Great obstruction crops up due to the quota system fixed by many countries

d) Due to corruption of custom officials and bribery foreign trade cannot be flourishing.

4.

- a) It is a document required for import of goods and is called generally L/C.

b) The bank of importer issues a letter of credit to ensure the foreign exporter that it (bank) should send the bill of exchange for the value of goods exported. On receipt of which it would be paid (by importer's bank)

c) On receipt on L/C the exported loads the consignment confidently on the ship and then sends the bill of lading to the foreign importer and also sends the bill of exchange to the bank of the importer.

d) At the fixed time the exporter receives the price of the exported goods from the importers bank by care of exporters bank

15.

- a) If the importers fails to record all the particulars about the imported goods then he can get clearance of goods from customs

b) Due to inability to furnish full details of the imported goods the importers applies to the customs officials about his aforesaid inability that he cannot supply the required particulars in the bill of entry.

16.

- When the imported goods reach the seaport of importer then he has to furnish complete details of the goods to the customs officials. For the purpose a document is used which is called bill of entry.
- In this bill the quantity of goods is mentioned.

b) In this bill the quantity of goods is mentioned

c) In this bill the kind of goods is also recorded.

d) The value of goods is also mentioned in the bill of entry.

INTERNATIONAL TRADE (IMPORTS)

SHORT ANSWERS QUESTIONS

1. Define the import trade

Ans. If goods and services are purchased from other countries and brought in the home country then such trade is called import trade.

Or

Purchase of goods and services from other countries is called import of trade.

2. Enumerate the source of import of goods.

- Ans. a) Wholesaler
b) Indent firm
c) Foreign office of purchase

3. Write down any six steps of import trade (only names)

- a) Application of registration
b) Obtaining membership
c) Obtaining the import license
d) Sending of indent
e) Opening of letter of credit
f) Payment of freight charges of ship and customs duty.

INTERNATIONAL TRADE (EXPORTS)

SHORT ANSWERS QUESTIONS

1. Define export trade.
 - a) Such a trade in which goods and services of any country are sold to the other countries is called export trade
 - b) Export trade includes all such aspects for which goods and services of a country are sent to other countries for sales.
2. Write down the names of four important methods of exports of goods.
 - a) To receive and accept the indents from foreign importers
 - b) To get the export firm
 - c) To obtain export license.
 - d) To determine the rates of exchange of local and foreign currencies.
3. What is meant by invoice?

Ans. After sending/shipping the export consignment the local exporter prepares a document about full details of the goods shipped (standard quantity and packing etc)
4. What is meant by counselor's invoice?
 - a) Counselor's invoice serves as a proof that the prices of all exported goods recorded in the bill of exchange (prepaid by the local exporter) are correct.
 - b) Three copies of this invoice are prepared and sent to the counselor.
 - c) The counselor embosses his seal on these copies and signs on these copies certifying the correctness of the entries of this invoice.
5. What do you know about Certificate of Origin?
 - a) If there exists a commercial contract between two countries then the two countries do not levy customs duty on each other's exports.
 - b) From this certificate the origin of production of goods and services is known.
 - c) If goods are sent by the duty free country then a copy of Certificate of Origin is attached to the export documents.

CHANNEL OF DISTRIBUTION (MIDDLEMEN)

SHORT QUESTIONS

1. **What work is performed by a trader? Write the names of kinds of trader's work.**
 - a) The trader/merchant is a person who directly purchases goods and adding his profit (in cost price) sells is them.
 - b) The gader is responsible for profit and loss of his business
 - c) Following are the kinds of traders.
 - i. Wholesaler
 - ii. Retailer
 - ii. Importer
 - iv. Exporter
 2. **What is meant by a wholesaler?**
 - a) He is a trader who purchases goods directly form producer/manufacture.
 - b) He stores the goods purchased in his own warehouse.
 - c) He sells goods in small quantities to retailers on cash/credit.
 - d) He provides capital to the factory owner and informs them about the likings, tastes and fashions of the consumers.
 3. **What do you know about retailer?**
 - a) Retailer purchases goods in small quantities from wholesalers.
 - b) He purchases goods from wholesaler on cash/credit basis.
 - c) He is the link between the wholesaler and the consumers.
 - d) The retailer establishes his shop in streets and lanes near the houses of customers and sells goods of liking taste and fashion of customers
-

4. **Who is called an importing trade?**
a) He imports goods from foreign countries.
b) He obtains an importing license.
c) He obtains foreign exchange from bank and pays price of imported goods in foreign currency.
d) He prepares all such documents which are essential for conducting import trade.
5. **What do you know about exporter?**
a) He sends local goods to foreign markets for sale.
b) He receives the indent of foreign importer and accepts it (for fulfilling his order).
c) He gets his organization registered and obtains exports license.
d) He gets marine insurance for export consignment and packs his goods and loads them on ship and obtains bill of lading from the captain of the ship and sends a copy of this bill to foreign importer.
6. **What services are rendered by the broker in the trade of share?**
a) He sells the shares of the company to a desirous buyer.
b) He receives brokerage for his services from the company.
7. **What do you know about the factor?**
a) He is a kind of agent who helps the owner of trade of principal in the sale of goods.
b) He takes possession of all goods on behalf of the principal.
c) He is fully authorized to sell the goods on behalf of the principal.
d) The factor is fully responsible for profit and loss in respect of all kinds of trade contracts (which he makes).
8. **Write down four important characteristics of a (general) broker.**
a) He sells goods of principal on behalf of principal in the name of principal.
b) He does not have possession of saleable goods.
c) The broker is not personally responsible for any thing for the sale of goods if he contravenes any commercial contract in such case the broker cannot be sued legally.
9. **Write down the general characteristics of a commission agent.**
a) He is appointed to conduct trade (of principal's) goods.
b) He cannot conduct the trade in his name.
c) He conducts the trade as per the advice of the principal.
d) He gets commission for his services from the principal which is comparatively at a lower rate than factors commissions.
10. **What do you know about a travelling agent?**
a) He shows samples of goods to the wholesaler and retailers of villages and towns and books their orders (of purchase).
b) He sends the purchase orders of prospective buyers to his principal for compliance (supply of goods).
c) The travelling agent is paid commission for his services.
d) In some cases he is paid salary together with commission.

11. Differentiate between a factor and a broker.

Ans. Differentiate between a factor and a broker.

	Points of distinction	factor	Broker
(1)	Possession of goods	He has full possession of goods on behalf of the principal	He does not have possession of goods on behalf of principal.
(2)	Authority	He can sell the goods of principal posing himself as he owner of goods	He has to tell the name of the principal to the buyer of the goods.
(3)	Issue of receipt	He can issue the receipt for sale proceeds in his name	He cannot issue the receipt for sale proceeds of goods in his name
(4)	Rate of commission	He is paid the commission for his services at a higher rate than a broker	His rate of brokerage is paid at a lower rate than factor's commission

SALES PROMOTION

SHORT QUESTIONS

1. Write down any six means of advertisement.

- a) Newspaper
- b) Magazines
- c) Radio
- d) Television
- e) Cinema
- f) Sign board

2. Write down any four important kinds of channels of distribution.

- a) Producer — wholesaler — retailer — consumer
- b) Producer — retailer — consumer
- c) Producer — consumer
- d) Producer — agent — retailer — consumer

3. What are the advantages of advertisement?

- a) Advertisement increases the volumes of sales.
- b) Advertisement increases expands the market.
- c) Advertisement provides the information about prices and uses of product and services to the consumers.
- d) Advertisement increases the good will of producers and the wholesalers.

4. What are disadvantages of advertisement?

- a) Advertisement needs very large expenditure.
- b) The advertisement expenditure is added in the prices of goods/products by which their prices increase.
- c) The rise in price of goods due to advertisement adversely affects the purchasing power of the consumers.
- d) Often inferior / sub standard goods are sold by advertisement.

5. Define advertisement.

- a) Advertisement is an art which instigates the prospective customers to purchase the goods.
- b) All such activities which are performed to introduce goods and services to the customers are called advertising.

6. What is meant by salesman ship?

- a) It is such a function by which
- b) The confidence of purchasers is acquired about the utility finished goods.
- c) The customers are made regular and permanent
- d) New customer are created for the saleable products.

7. Write down the important of salesmanship.
- a) Salesmanship increases the demand for goods/products.
 - b) It increases the volume of sales.
 - c) It helps to establish direct contact with customers.
 - d) It increases the business and expands the market.
8. Enumerate five characteristics of goods salesman/salesgirl.
- a) Attractive personality
 - b) Well dressed
 - c) Good memory
 - d) Good behavior (smiling and pleasant facial expressions)
 - e) Full knowledge of salesmanship

9. Define salesmanship

- a) It is an art of presenting a (saleable) product/good in such an ideal way that the prospective purchaser not only feels the necessity to purchase the product/good but also likes it.
- b) Salesmanship is an art to establish a continuous profitable relationship between purchasers and the seller may fulfill the needs of the customers.

9. Short term loans are used for _____
- | | |
|-----------------------------|--------------------|
| a. Repayment of small loans | b. Daily expenses |
| c. Refreshments | d. All are correct |
10. MUSHARIKA is based on Islamic _____
- | | |
|-----------------------------------|--------------------------|
| a. Concept of interest free loan. | b. Principle of equality |
| c. Islamic commercial principles | d. all are correct. |

CONSUMER AND BUSINESS FINANCE

SHORT ANSWERS QUESTIONS

- What is meant by **business finance**?
 - Business finance is the capital which is available on time to run a business and run it smoothly.
 - Business finance should be sufficient to plan the successful business.
- What is meant by **short term capital**?
 - It is a kind of business finance for one year or less than it which is used to bear the daily or emergency expenditure of business.
- What do you know about **midterm finance**?
 - it is the capital obtained for one to ten years period as loan to expand business.
- What is the **object of long term finance**?
 - This capital is obtained from loans of 10 years or more for purchasing fixed assets such as land, factory building machinery etc.
- What are the **characteristics of short term loans**?
 - These loans are obtained on low rate of interests.
 - They are used for bearing seasonal expenditures of businessmen.
 - Capital is very often required to meet emergency expenses which have to be immediately incurred for which short term loans are obtained.
- What are the **sources of obtaining short term capital**?
 - The sole proprietor and partners of partnership obtain the short term loans from the friends and relatives.
 - Commercial banks are great resources of providing short term loans/capital on production of securities.
 - Some financial companies give loans in personal securities also.
- What are the **characteristics of middle term finance**?
 - The period of such loans is one to ten years for which rate of interest is charged according to the length of period.
 - Generally these loans are used for the purpose of research and survey of market.
 - Generally businessmen obtain these loans for manufacturing/providing new products.
- What are the **sources of middle term finance**?
 - Such loans are generally provided by insurance companies.
 - Term finance certificates (TFC) are also a source of mid term loan.
 - PTC certificates are also a source of this finance.

9. **Write down the characteristics of long term loans?**
- The landlords need tractors, threshers and combines for which they have to pay heavy amounts. They obtain long term loans from agricultural bank.
 - For establishment of industries, construction of house and schools etc for laborers and their children huge amounts are needed so the industrialists take long term loans from industrial development bank
 - For purchase of heavy machinery in Pakistan PICIC and Pakistan industrial development bank provide long term finance to the industrialists.
 - For mining long term finance/loans are required.
10. **Write down the sources of long term loans.**
- The underwriters of J.S. Companies provide the long term loans for the establishment of companies.
 - Companies and cooperation's issue bonds to get long term loans.
 - J.S. Companies issue debentures to get long term loans.
 - Long term loans are provided by muhsarika certificates. Modaraba certificate and leasing companies (in the form of leased machines)
11. **What is meant by musharika**
- Ans. It is an Islamic way of forming partnership in which two or more parties invest and also use personal artistic capabilities to run the partnership business. For this purpose they enter into a registered contract.
12. **Write down characteristics of musharika?**
- Musharika is a temporary partnership between a bank and its customers.
 - Musharika is established on the interest free principle of Islam
 - The profit/loss of business is shared according to ratio fixed in the contract of musharika.
 - The parties of the contract invest capital as recorded in the contract and the contract is for fixed period.
13. **What is meant by modaraba? Write down its characteristics.**
- This business is established under the Islamic (economic) system and is conducted on interest free basis loans.
 - Its one party provides capital and is called rabul mal.
 - Its second party provides its labor and experience and is called modarib.
 - If the business suffers a loss then it is totally born by the rabul mal.
 - This business is established on profit/loss basis and when it gets profit it is shared between the two parties according to the agreed ratio.
14. **What is meant by tem financial certificate (TFC)?**
- It is a source to provide capital for mid term loans.
 - It is issued on behalf of company (debtor to the creditor/lender organization)
 - Their repayment is done by means of mark up installments.
15. **What do you know about modaraba certificate?**
- It is a source of long term interest free loan.
 - The debtor company/organization issues this certificate to the lender/creditor for getting long term loan.
 - These loans are repaid in a long period as settled in advance.
16. **What is meant by reserve fund?**
- Generally a J.S. Company distributes the dividend to ordinary shareholders from its annual profit but at times it does not pay dividend as a matter of gross injustice and the dividend amount to create reserve (appropriation). Thus the company reinvests the dividend in the business to earn more profit.
 - The reserves are used to meet the emergency expenditures.
 - It is an undesirable method of formation of capital for long term/period depriving the ordinary shareholders to get the dividend.

17. What do you know about "Bonds"?

- a) Sometimes secured and unsecured bonds are issued by J.S. Company to get long term capital.
- b) These bonds are sold directly through the agents.
- c) An interest is paid on bonds according to a fixed rate.
- d) Bonds are issued for a fixed period.

18. What is meant by debentures?

- a) J.S. Company obtains long term loans by issuing debentures.
- b) For getting loans by means of issue of debentures the J. S. Company mortgages its assets.
- c) The J.S. Company pays interest at a fixed rate on the debentures.
- d) The debentures are of two kinds.
 - i. Redeemable debentures
 - ii. Irredeemable debentures

The irredeemable debentures are repaid when the J.S. Company is liquidated.

INSURANCE

SHORT ANSWERS QUESTIONS

1. What is meant by insurance?
 - a) It is contract between two parties.
 - b) One party of insurance (except life insurance) is the insurer (ins Company) which promises that if the insured suffers any loss of property then the insurer will make good such loss.
2. What do you know about the life insurance policy?
 - a) It is such contract under which the insurance company promises that in case of death of the insured person it will provide financial safety to the legal heirs of the deceased insured person.
3. What is meant by fire insurance?
 - a) It is an insurance contract in which the insurance company promises that in case the insured goods/property is destroyed by eruption of fire then it would make good the loss of property occurred by such fire.
4. What is meant by marine insurance?
 - a) It is an insurance contract in which the insurance company promises that if the cargo loaded on the ship suffers any loss due to sea peril (sea storm etc) it would make good the loss.
5. Enumerate the kinds of insurance
 - a) There any four big kinds of insurance.
 - b) The four kinds are
 - i) Life insurance
 - ii) Fire insurance
 - iii) Marine insurance
 - iv) Accidental insurance
6. Write down any four advantages.
 - a) It helps to increase the savings.
 - b) The businessman can get loans from insurance companies.
 - c) The insurance companies invest in different business.
 - d) This investment helps in the economic development of the country.

MEANS OF TRANSPORT

SHORT ANSWERS QUESTIONS

1. **What is meant by means of transport? Also written down its kinds.**
 - a) Means of transport carry passengers and their luggage's from one place to the other place or from one country to the other country.
 - b) There are three kinds of means of transport.
 - i) Land transport
 - ii) Oceanic transport
 - iii) Air transport
2. **What is meant by road transport? Write down its advantages.**
 - a) When transport is performed by road it is called road transport.
 - b) Road transport has following advantages.
 - i. Facility to transport passengers and their luggage's from one place to another and from one country to the others.
 - ii. The transport charges by road transport are cheap, than other means of transport
 - iii. This transport is established by using small capital.
 - iv. Road transport provides travelling facility for transport of passengers and their luggage's on difficult to travel routes/ways.
3. **What are the disadvantages of road transport?**
 - a) In this kind of transport frequently accidents occur.
 - b) During heavy down pour of rains and snowfall or mist season this transport is suspended.
 - c) By this means of transport limited number of passengers and goods can be transported.
4. **What is meant by railway transport? Write down its advantages.**
 - a) By this transport large number of passengers and goods are transported from one place to the other.
 - b) The railway fare and freight charges are reasonable and it has a large capacity to carry passengers and luggage.
 - c) This transport is generally safe from seasonal obstruction to a great extent.
5. **What is meant by Air Transport?**
 - a) For journey to far off places and overseas countries. Airways are used to transport passengers and their luggage's.
 - b) For this purpose passenger planes/Boeing planes and air buses are used.
 - c) DC 130 planes transport goods (medicines , relief goods for victims if natural calamities and defense equipments are transported)
 - d) For overcoming short distances helicopter and Fokker planes are used.
6. **Write down in the advantages of Air Transport.**
 - a) It is the speediest means of transport.
 - b) This means of transport is used to ply on natural routes.
 - c) Air transport provides ideal facilities of journey and helps to cover large distances in shortest spell of time.
 - d) This means of transport has really helped to bring the far off places very close to each other. Journeys for days have been curtailed into journey for hours.

7. **What are the disadvantages of Air transport?**

- a) It is the costliest means of transport
- b) The airways have to bear very large amount of expenses for the air flights and maintenance.
- c) The aero planes have limited capacity to transport passengers and their luggage.
- d) In bad weather the flights are cancelled

8. **What is meant by water ways? Describe its kinds.**

- a) This means of transport is used for carriage of passengers and their luggage and also to carry heavy cargos through canals navigable rivers using ships / vessels.
- b) This transport of two kinds.
- c) a) internal transport b) oceanic transport
- d) In internal / inland transport passengers and goods are transported from one place to the other place by various types of vessels through navigable canals lakes (using steamers launchers and motor boats)
- e) In oceanic transport large number of passengers from one seaport to the other seaport travel by ships on the sea routes.

9. **Write down the advantages of oceanic transport**

- a) The oceanic vessels perform voyages on the natural sea routes without incurring any expenditure on maintenance of the routes
- b) The ships carry large quantities of food grains, merchandise heavy machines from one place to the other place.
- c) Large number of passengers can travel by ships.
- d) For long journey ships are the cheapest means of transport.

10. **Write down any four advantages of means of transport.**

- a) It helps in economic development
- b) It creates job opportunities
- c) It helps in expansion of markets.
- d) It helps to stabilize the prices of products and commodities.

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WARE HOUSING

SHORT ANSWERS QUESTIONS

1. Define storage / warehousing.
 - a) Production of goods on large scale and to store them in warehousing in such a way that they can maintain their standards till they sold is called storage / warehousing.
2. Write down the name warehouses.
 - a) Generally there are three kinds of godowns and one more special type as recorded below.

i. Public godown	ii. Private godown
iii. Bonded godown	iv. Godown for special goods
3. What is meant by public godown? Write down its characteristics.
 - a) This type of godown is owned by government or public organizations.
 - b) It is constructed by government as a public organization.
 - c) In such godown all kinds of businessman can have their goods store by paying the requisite charges.
4. Write down any four characteristics of storage.
 - a) For storage adequate space is provided.
 - b) For storage arrangements for suitable method of warehousing has to be followed.
 - c) The warehouse ensure regular supply of goods to the market all the year around
 - d) By storage the equilibrium between supply and demand is tried to be maintained so as to stabilize the prices.
5. Describe the importance of warehousing.
 - a) Prices of goods are stabilized by storage warehousing.
 - b) Cold storage facility keeps the perishable goods fresh for sufficient time.
 - c) Storage helps job opportunities to be created.
 - d) Cold storages increase the taxation income of government.

CHAMBER OF COMMERCE AND INDUSTRY

SHORT ANSWERS QUESTIONS

1. **What do you know about the chamber of commerce and industry?**
 - a) Chamber of commerce and industry is a voluntary organization of producers. Merchants and industrialists.
 - b) This chamber develops the production activities of countries locally (in the interior)
 - c) The chamber tries to develop commercial activities locally in the interior.
 - d) This chamber holds commercial exhibitions inside the country and abroad.
 - e) The chamber provides protection to traders / merchants individually and collectively.
 - f) The chamber guides the merchant community in business matters.

2. **What documents are required for the establishments of chamber of commerce and industry?**

Ans: Two important documents are needed for establishment of this chamber.

- a) Memorandum / constitution of chamber
 - b) Articles / rules and regulations of the chamber
3. **Describe the functions of a chamber of commerce and industry.**
 - a) This chamber helps in chalking out the commercial policies.
 - b) It offers suggestions to government in formation of the national budget.
 - c) It protects the interests of the businessman / traders.
 - d) It guides the industrialists for protections of their interests.

OFFICE ORGANIZATION

SHORT ANSWERS QUESTIONS

1. What do you know about the business office?

- a) It is a section established in a business organization
- b) This section carries out all the matters of the organizations
- c) It controls all the works of business.
- d) The business office keeps regular record for the business.

2. what is meant by private office

- a) Private office looks after the affairs of a private organization.
- b) It controls all the works of private business.
- c) It keeps a regular record of the private business

3. Write down any four duties of a business office?

- a) It maintain mutual contract in various section of the business
- b) It protects the assets of the business.
- c) It performs the duty of training of the staff.
- d) It performs filing of business correspondence.

4. Define the business organizations.

Ans: Office organization is a group of workers / clerks who work under the supervision of the head / leader and his guidance for achieving the objects of organizations.

5. Enlist any three duties of a business organization.

- a) Fixation of responsibility of the staff members.
- b) Secrecy of business trade secrets.
- c) Better performance / efficiency

6. Write down any four reasons of importance of a business office.

- a) The business office provides correct information / material to the management of the business.
- b) The business office helps the business organization to make planning of business.
- c) It helps in the management of the business to make business decisions.
- d) This office helps to record business prepares and papers filing of business correspondence.

FILING SYSTEM

SHORT ANSWERS QUESTIONS

1. **What is meant by filing?**
 - a) It is a method in which business papers and letters are regularly arranged.
 - b) When a letter/ paper is needed for reference or any other use then it can be traced easily from the concerned file.
2. **Write down four characteristics of a good filing system.**
 - a) By a good filing system tracing of letters/ papers becomes easy
 - b) In good filing systems papers / letters can be preserved
 - c) In such filing secrecy of letters, papers can be maintained
 - d) In good filing system time, monetary & labor saving becomes possible

3. Describe the vertical filing system
 - a) Vertical filing system can be done alphabetically,
 - b) It can also be done by number (ing).
 - c) It can be arranged subject wise.
4. Describe horizontal filing system
 - a) It can be done by inserting wire in paper/letters.
 - b) It can also be done by using ribbon board.
 - c) It can be a bracket filing.
 - d) It can also be done by using shelved almirahs (having drawers)
5. Write any four advantages of vertical filing.
 - a) In this kind of filing papers and letter can be preserved in suitable arrangements
 - b) In this filing papers are traceable in the least possible time.
 - c) Safety of letters and papers is ensured by vertical filing.
 - d) The secrecy of papers and letter can be maintained in vertical filing.
6. What are the disadvantages of vertical filing?
 - a) It is a complicated method of filing.
 - b) It is not suitable for small business organization
 - c) It is more expensive
 - d) It requires large space for keeping files
7. Write down the advantages of horizontal filing.
 - a) It is a simple method of filing.
 - b) It is easier than vertical filing.
 - c) It requires less space.
 - d) It is suitable for small business organization
8. Write down the disadvantages of horizontal filing.
 - a) In this system finding of papers, letters becomes difficult.
 - b) In this systems large number of papers / letters are accumulated in files
 - c) This system lacks elasticity
 - d) Loss of letters/papers is possible in horizontal filing system
9. What do you know about indexing?
 - a) It is a list of names of subjects of letters / papers.
 - b) It comprises of one or more volumes
 - c) All the letters /papers included in the list of indexing are fastened with reference to page number.
 - d) Letters / papers are easily traceable under indexing system.
10. Compare vertical and horizontal filing.

Point of distinction	Vertical filing	Horizontal filing
1) Method of keeping papers	Papers/letters are kept vertically without fastening	Papers/letters are kept horizontally duty fastened
2) Safety of letters / papers	Papers and letters can be lost	Papers/letters are not lost.
3) Arrangements of papers/letters are traceable.	Papers/letter bear lines attached so they are easily traceable.	Papers/letters are kept one upon the other and are difficult to be traced
4) Required space	This filing needs lot of space	This filing needs limited space
5) Suitability	It is suitable for big of filing	It has less expensive

6)	Expenses	It is an suitable for big business concerns	It is suitable for small organization
7)	Requirements	It needs almirahs with deep drawers and shelves for keeping letters/papers	It does not need almirah with shelves
8)	secrecy	In this filing secrecy of letter / paper can be maintained	No secrecy can maintain in this filing.
9)	Method of taking out papers / letters	A slip has to be kept in place of letters / papers take out.	No such slip has to be kept in place of papers taken out.

BUSINESS LETTERS

SHORT ANSWERS QUESTIONS

1. What is meant by business letter?
 - a) They are such letters which businessmen or organization write or receive for obtaining business information or for the performance of business work
2. Enumerate four characteristics of business letters.
 - a) Simplicity
 - b) Accuracy
 - c) Conciseness
 - d) Comprehensive
3. Enumerate the parts of business letters.
 - a) Heading
 - b) Data
 - c) Address of addressee
 - d) Salutation
 - e) Subject matter
 - f) Ending words
 - g) Signature
4. Write down any four kinds of business letters.
 - a) Enquiry letter
 - b) Letter of offer
 - c) Complaint letter
 - d) Letters of business references
5. What is meant by circular letter?
 - a) It is a letter having a single matter which is sent to a large number of businessmen or organization is called an application.
6. What is a compliant letter?
 - a) When the quality of goods sold/supplied by a supplier is not up to the specification / damaged or defective then the purchaser write a complaint letter to the seller or supplier.
7. What is meant by a formal letter?
 - a) It is a letter through which the debtor is informed about the balance of account receivable from him.

OFFICIAL LETTERS

SHORT ANSWERS QUESTIONS

1. What is meant by official letter?

Ans: It is a letter by the secretariat to different department or by a department to its various sections.

2. What is meant by a circular letter?

a) It is an official letter in which some government notification or message is sent to various organizations, departments or individuals.

3. What is the style of circular letter?

Ans: The style of the circular letter is the same as any other government letter (official letter, reminder letter, demi official letter, proclamation or order etc.)

4. What is meant by informal note?

Ans: When in respect of official matter a government officer wants to consult another office then he writes a formal note on the file and sends it to the other office with a request to record his comments on the note. Such note is called informal note.

5. Define the official letter.

Ans: It is kinds of letter which is written by a government office/ department to the other or it is written to the private organization or general public.

6. What is meant by advertising?

Ans: It is concise piece of writing which is written at the end of an official letter in one or two lines on some important point.

MISCELLANEOUS

SHORT ANSWERS QUESTIONS

Q: What do you mean by Commerce?

Ans: Commerce is concerned

First: Production of goods and services and,

Second: Distribution of produced goods and services.

Q: Defining Business

Ans: Stellar and straub Define

A BUSINESS IN AN ORGANIZATION ENGAGED IN PRODUCING GOODS AND SERVICES TO MAKE A PROFIT.

Q: What do you mean by term business?

Ans: Business is a comprehensive term which covers all productive and distributive activities. All those activities are included in businesses which are concerned with transport, publicity, broker, wholesaling, retailing etc. Apart from it, mining, fishing, agriculture, industry are retailing etc. apart from it, mining, fishing, agriculture, industry are also included in business all assist in producing goods and services.

Q: Define Trade?

Ans: Trade is related with buying and selling or it is concerned with the mutual transfer of goods and services. Trade is the first phase of marketing activity and it includes both internal and foreign buying and selling. Trade is composed of wholesaling as well as retailing.

Q: Define industry?
Ans: The industry might be defined as all the commercial and business activities which produce goods and services.

Q: Define profession?
Ans: The profession could be defined as a service which requires a prior special education and training.

Q: Highlight the essentials of business?
Ans: Before establishing a business the following matters should thoroughly be thought over so that minimized and the profits possibility might be made sure and bright:

1. NATURE OF BUSINESS
2. BUSINESS INFORMATION
3. FUTURE OF BUSINESS
4. MARKETING
5. COMPETITION
6. STAFFING

Q: Discuss the qualities of a good business man.
Ans: A good business man, to be successful in business, should have the following qualities:

1. WELL INFORMED
2. EXPLOITING OPPORTUNITIES
3. RISK BEARING
4. EFFICIENCY ORIENTED
5. RESULT ORIENTED
6. FAIR DEALINGS

Q: Enumerate the different forms of ownership:

Ans: Before starting a business, the administrator must examine and carefully compare the relative advantages and disadvantages of various forms of ownership, so that he can select the form best-suited to his business. The main types of business ownership in our country are:

1. Sole or individual proprietorship
2. Partnership
3. Corporation or joint stock company

Q: What do you understand by Sole Proprietorship?

Ans: Sole proprietorship is the type of business for which the single proprietor provides capital for business assumes the risk of business and organizes the business independently.

Q: What are the basic characteristics?

Ans: The basic characteristics of sole proprietorship could be listed as under:

- a. Accounts of this business are kept secret.
- b. Rights of owner are solely possessed by one man.
- c. The entrepreneur is personally held responsible to bear the losses.
- d. The life of this business is short and uncertain.
- e. Small amount of capital is required.

Prepare a short list of the wholesaling business which suits to be undertaken under sole proprietorship?

The following lines of business might be run under wholesaler because they involve small capital and lesser managerial complexities.

- Medicine merchants
- Hardwar or construction material
- Clothes merchants
- General stores
- Other small businesses concerning to wholesaling.

Define Partnership?

Contract Act of 1872, defining partnership, says that:

Partnership means mutual relationship established amongst the people who agree to share profit in the business.

Highlight the kinds of partner.

The partners are classified into many kinds as under:

- PARTNER IN PROFITS
- NOMINAL PARTNER
- MINOR PARTNER
- PARTNER BY HOLDING

What are the right and duties of the partner?

According to the partnership act, the right and duties of the partner could be stated as under:

- Every partner has the legal right to have excess to the books of accounts of the firms and also can demand for the copy of the accounts.
- If the available resources fall short to run the business activities and a particular partner is asked to provide the finances, he will be legally empowered to charge an additional profit at the rate of 6 percent on the amount which he provides in addition to his shares.
- Every partner has the right to participate in the business affair practically. In other words, he has the right to be the worker in the firm in addition to his partnership.
- If all the partners have invested equally in the business, they are empowered to share the profits equally also except the situation; his share in profits of the business will be in proportion to his share in investment.
- If a partner has paid on behalf of the firm more than his legal obligation, he has the right to claim for the compensation.

Write down the liabilities of Partner?

The liabilities of the Partners, with reference to the 'partnership Act' are given below:

- Every partner (if not otherwise in the partnership deed) is legally liable to pay the debts on the firm in the light of the partnership deed.
- A partner is liable to compensate the losses to the business which have incurred due to his negligence knowingly or unknowingly.
- If a partner runs a separate business synonymous to the firm's business, if he takes any advantage of the firm's goodwill in his personal capacity, he is bound to present the accounts of such a business before all other partners and to hand over all the profits earned to the firm.

4. So long a partner is the partner according to the partnership deed, he will be held responsible for all firm's decisions taken during his tenure of partnership.

Q: Define a Joint Stock Company?

Ans: Joint Stock Company Define as under

- It is an intangible, immaterial and artificial person which has legal existence.
- It has been defined by company ordinance of 1984 as under:
- A business which has been registered under company act of 1984 is termed as Joint Stock Company.
- According to another condition.
- Every business unit would be called joint-stock company which has the right to issue shares having limited financial liability.

Q: On the basis of nature how many kinds of a Joint Stock company?

Ans: On the basis of nature of its incorporation, a joint stock company could be classified into the following kinds:

1. CHARTERED COMPANIES
2. STATUTORY COMPANIES
3. REGISTERED COMPANIES

Q: Write down the clauses of memorandum of association?

Ans: The provisions / Clauses included in the memorandum of Association are given under:

1. NAME CLAUSE:
2. SITUATION CLAUSE:
3. OBJECTIVE CLAUSE:
4. LIABILITY CLAUSE
5. CAPITAL CLAUSE:
6. ASSOCIATION CLAUSE:

Q: What do you understand by Articles of Associations?

Ans: Articles of Association is the series of rules and regulations according to which the company runs its business. These articles, creating relationship between the company and its members (share holders), determine their rights and obligations.

Q: What is meant by prospectus in companies?

Ans: The prospectus has been defined in the Companies Act as under:
Prospectus is 'advertisement, circular, information presented for the public to purchase the shares of the company'

Q: What is the basic concept of musharka?

Ans: Islam defines Musharka as under:
Musharka (Partnership) refers to the business or trade activity which is undertaken by the partners on the basis of provision of capital and labor and to share the profits according to the pre-determined conditions'.

Q: What is meant by mudarba, Defining Mudarba?

Ans: The scholars of Islam have defined Mudarba as under:

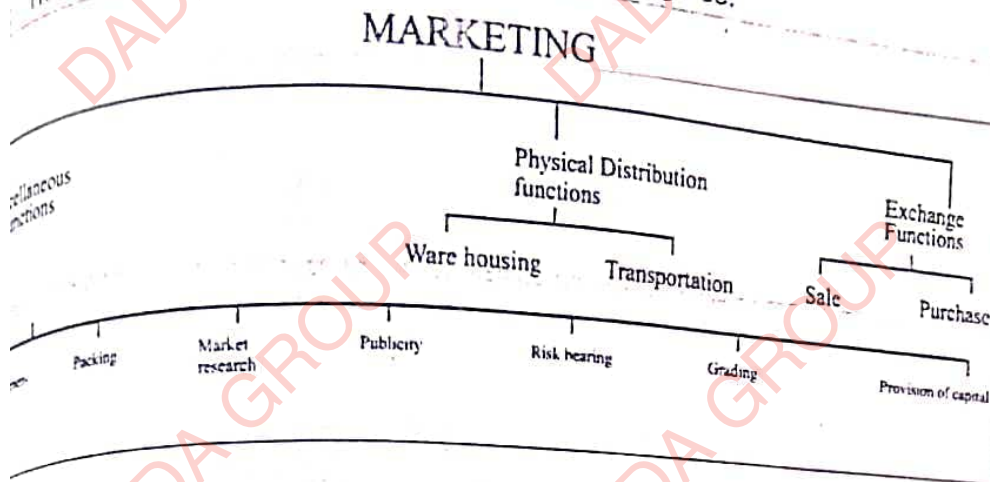
- Mudarba has been divided in the volume 13 of 'Ainul Hidayah' that:
The meaning of ZARBFIL ARD 'is to walk on land and a zarib (laborer), with trading goods walk within or outside the country and earns profits through this labor. This activity of the laborer is called mudarba.

What do you understand by term 'marketing'?

Marketing includes all the activities which are arranged in a manner that they make the satisfaction of human wants easy' (Stanton)

Write down the functions of marketing?

The functions of marketing are given in the following tree:



Name the documents which are generally used for the purpose of import and export?

The documents and papers which are generally used in import and export of transaction.

i. INVOICE

This is the document at the place of buying are shown in this document.

ii. LOCO INVOICE:

The expenses incurred at the place of buying are shown in this document.

iii. FRANCO

The term refers to the declaration that the expenses incurred on sending the goods from the warehouse of the seller to the place of destination all have been entered include in the invoice.

iv. C.I.F.

The price of the goods and the expenses incurred on freight are entered in this document. No losses consequent by exceptional risks like war are included in this document.

v. FREE ON BOARD INVOICE:

Apart form the price of the goods, loading charges of the goods on board are included in this document but no insurance and fair amount is included.

Enumerate the different kinds of retailing?

Although a number of methods are used for small scale retail selling but all are classified into methods:

First: Mobile retailing on small scale:

i. Hawkers,

ii. Mobile Shops,

iii. Part-Time Retailers.

Second: Fixed Shop Retailing on small scale.

i. Second hand goods retailers,

ii. Street stalls,

iii. Specialty stores,

iv. General stores.